

- ¹ Benjamin Graham, *The Intelligent Investor*, Harper Business, 2013 edition.
- ² Warren E. Buffett, annual report for Berkshire Hathaway Inc., 2007, <http://www.berkshirehathaway.com/letters/2007ltr.pdf>.
- ³ The emphasis in bold has been added by us.
- ⁴ For more detailed insights from India's greatest investors on this subject, please read *Gurus of Chaos: Modern India's Money Masters* (2014).
- ⁵ Robert G. Kirby, 'The Coffee Can Portfolio', 1984, <https://thetaoofwealth.files.wordpress.com/2013/03/the-coffee-can-portfolio.pdf>.
- ⁶ The equity risk premium denotes the additional return that an investor expects, over and above the risk-free rate of return, for investing in equity.
- ⁷ It is important to note that we are *not* looking for companies that have grown sales over a ten-year period at a compounded annualized rate of at least 10 per cent. Instead we *are* looking for companies which have grown sales every single year for ten consecutive years by at least 10 per cent.
- ⁸ Return on Equity (ROE) is the profit earned (after paying corporate taxes) as a percentage of the **shareholders'** equity.
- ⁹ ROA gives a sense of how efficient a management team is at using its **assets** to generate earnings. ROA is calculated by dividing a company's annual profits (after paying corporate taxes) by its total assets.
- ¹⁰ The assets of a bank are its equity plus the amount of money the bank has borrowed. Therefore by looking at ROE, rather than ROA, we are not only able to measure a bank's ability to lend money profitably but also measure its ability to gauge exactly how much money the bank should borrow.
- ¹¹ Median denotes the midpoint of returns, such that there is an equal probability of falling above or below it.
- ¹² Yuval Noah Harari, *Sapiens: A Brief History of Humankind*, HarperCollins, 2015.
- ¹³ Push-based demand implies that the distributors get involved in pushing the product actively to the retailers rather than only fulfilling the incoming demand for products from the retailers.
- ¹⁴ If you want to understand more about this remarkable company, please refer to Chapter 5 of *The Unusual Billionaires*.
- ¹⁵ Michael J. Mauboussin, *More Than You Know: Finding Financial Wisdom in Unconventional Places*, Columbia University Press, 2006.